Reg. No. [ ] [ ] [ ] [ ] [ ] [ ] [ ] [ ] [ ] [ ] [12ME7614]

# SEVENTH SEMESTER B.E EXAMINATION DECEMBER-2015

## FINANCIAL MANGEMENT

**Time: 3 Hours** **Maximum Marks:70**

**Instructions:**

Answer any **FIVE** full Questions.

**1. a.** What is meant by 'Financial management' Explain its importance. **07**

**b.** Discuss the profit maximization, objective of a firm with a case example. **07**

**2. a.** What are the types of financial markets? Explain. **10**

**b.** Highlight the importance of Commodity market. **04**

**3. a.** M/s Lakshmi Electrical Appliances furnish the following information- **10**

Calculate net cash flow from financing activities:- Particulars 31.12.2007 31.12.2008 Equity share capital 2,00,000 4,50,000 10% debentures 1,00,000-6% preference shares-3,00,000 Additional information – (a) Interest paid on debentures Rs.5000/- (b) Dividend paid on equity shares Rs.40,000/- (c) Bonus shares were issued to existing shareholders in the ratio of 4:1 during the year.

**b.** From the following profit or loss account find out the flow of cash from operating activities of Mohan Ltd. **04**

| Dr. | | Cr. | |
|---|---|---|---|
| **Particulars** | **Amount** | **Particulars** | **Amount** |
| | (Rs.) | | (Rs) |
| To Rent paid 14,000 | | By Goss Profit | 1,82,000 |
| Less: Prepaid 2,000 | 12,000 | By Profit on Sale of Machine | 12,000 |
| To salaries | 25,000 | By Tax Refund | 3,800 |
| To Depreciation | 15,000 | By Rent received 4000 | |
| To Loss on sale of Furniture | 10,000 | Add: Rent accrued 1000 | 5,000 |
| To Goodwill written off | 8,000 | | |
| To Bad Debts | 3,000 | | |
| To Office Expenses | 18,000 | | |
| To Discount allowed | 7,000 | | |
| To Proposed Dividend | 30,000 | | |
| To provision for tax | 22,000 | | |
| To Net Profit | 52,800 | | |
| | 202,800 | | 2,02,800 |

Not : There was increase in closing stock by R.25,000

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4. a. A 45 year old person is planning for his retired life. He plans to divert Rs. 30000/- from his bonus as investment every year for the next 15 years. The bank gives 10% interest rate compound annually. Find the maturity value of his account when he is 60 year old. Draw cash flow diagram. **07**

b. Determine the effective interest rate for a nominal annual rate of 6% that is compounded **07**

i. Semi annually

ii. Quarterly

iii. Monthly

iv. Daily

5. a. Estimate the discounted payback period at 10% discount rate for the following project. **07**

| Year | 0 | 1 | 2 | 3 |
|---|---|---|---|---|
| CF | -10,000 | 4,500 | 4,500 | 3,000 |

b. Determine the internal rate of return for a project that costs $180,532.00 and is expected to yield after-tax cash flows of $25,000 per year for the first five years, $33,000 per year for the next five years, and $46,000 per year for the following five years. **07**

6. a. Differentiate between cost of preference and cost of equity capital with examples. **07**

b. If a firm issues debt to repurchase equity, what will happen to the firm's stock price? Analyze considering all performance measures. **07**

7. a. Differentiate between gross and net working capital. **07**

b. Examine the issues involved in the operating cycle of working capital management with a case example. **07**

8. a. Briefly evaluate the Residual Theory of Dividends with illustration. **07**

b. Highlight on the Walter's Model of Dividend and list the assumptions made in this argument. **07**